

Module 4

The Time Value of Money

FINE 3010, Financial Management
Prof. Renping Li, Tulane University

Goals

- **Part 1**
 - Translate dollars today into dollars tomorrow (“future value”)
 - Translate dollars tomorrow into dollars today (“present value”)

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 - Financial calculators

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- **Part 3**
 - Special cases: perpetuities, annuities, and their variants

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 - Financial calculators
- **Part 3**
 - Special cases: perpetuities, annuities, and their variants
- **Part 4**
 - The role of inflation

Module 4, Part 1

Future Value and Present Value

The Time Value of Money



Would you rather receive a dollar today, or a dollar tomorrow?

The Time Value of Money

- A dollar today is worth more than a dollar tomorrow



The Time Value of Money

- A dollar today is worth more than a dollar tomorrow
- Why?



The Time Value of Money

- A dollar today is worth more than a dollar tomorrow
- Why?
- Because we can invest that dollar today and collect interest on our investment!



The Time Value of Money

- A dollar today is worth more than a dollar tomorrow
- Why?
- Because we can invest that dollar today and collect interest on our investment!
 - Assuming, there is some investment with a positive return for us to pursue

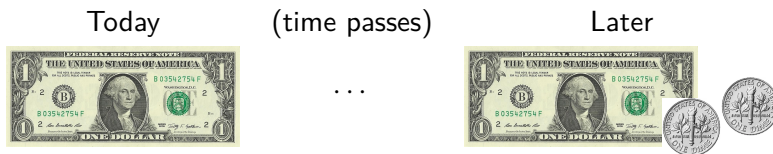


Future Value

- **Future value**, the amount to which an investment will grow after earning interest
- A “present value” today grows to its “future value” tomorrow via interest

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$$\text{Future value (FV)} = \$100 \times (1 + 0.06)^5 = \$133.82$$

Compound Interest

- **Compound interest**, the interest you earn with compounding, that is, with interest on interest

Future Value, Compound Interest

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- How much interest will you have earned after five years?

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Year	Start balance	Compound interest	End balance
1	\$100.00	$0.06 \times 100.00 = \$6.00$	\$106.00
2	\$106.00	$0.06 \times 106.00 = \$6.36$	\$112.36
3	\$112.36	$0.06 \times 112.36 = \$6.74$	\$119.10
4	\$119.10	$0.06 \times 119.10 = \$7.15$	\$126.25
5	\$126.25	$0.06 \times 126.25 = \$7.57$	\$133.82

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- With compound interest, your \$100 grows to $\$100(1 + r)^T = 133.82$, so you earned \$33.82 in compound interest

Compound Interest

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Compound Interest

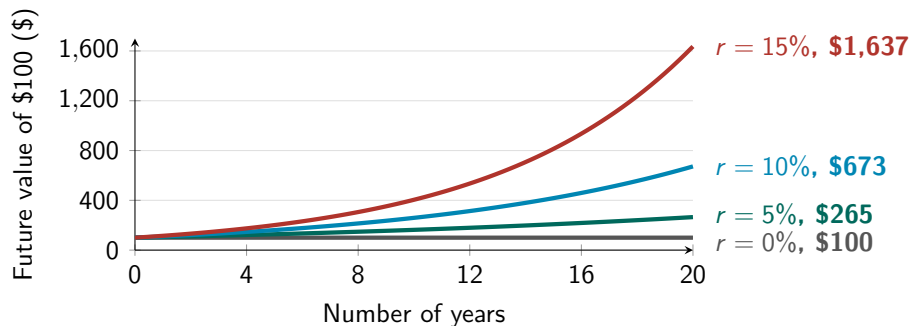
- **Compound interest**, the interest you earn with compounding, that is, with interest on interest
 - If you earn r per year for T years, your money grows to $PV \times (1 + r)^T$
 - The total compound interest you have earned is $PV \times (1 + r)^T - PV$

Compound Interest

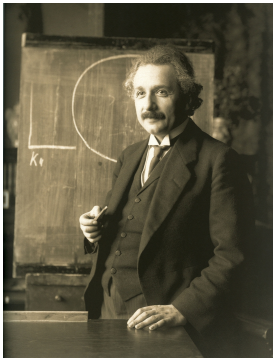
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 - If you earn r per year for T years, your money grows to $PV \times (1 + r)^T$
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- Compound interest is the default in finance (e.g., deposit rate)

Future Value Grows Fast in r and T

- The future value (FV) depends heavily on the interest rate r , especially as the time dimension T grows

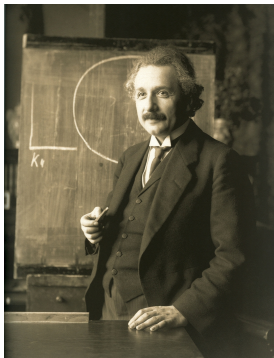


What's the Most Powerful Force in the Universe?



- Einstein, ...

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- Einstein, ...
- “Compound interest”

Example, Future Value

- Peter Minuit bought Manhattan Island for \$24 in 1626
- a. What would that investment have been worth in 2021, if it had earned an 8% annual return?
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(roughly the same as total world wealth)

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b. $FV = \$24 \times (1 + 0.035)^{395} = \19 million

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How many years will it take until your money doubles?



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- That is, what is the T such that $(1 + 0.06)^T = 2$?
- About 11.9 years, because $(1 + 0.06)^{11.9} \approx 2$
 - We will learn how to calculate this with the financial calculator



Present Value

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- Recall, Future value $(FV) = PV \times (1 + r)^T$, that means

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- Recall, Future value $(FV) = PV \times (1 + r)^T$, that means

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- \$100 in the future is worth less than \$100 in the present, so we “discount” the value of the future cash flow to its present value

Present Value

- **Discount rate**, the rate used to compute PVs (i.e., r)
 - We choose a discount rate that reflects the risk in the cash flow, which we will return to in **Modules 8 and 9**

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- **Discount factor**, the present value of \$1 received in year T when the discount rate is r
 - Less than one when r is positive

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 **Discount factor**

- **Discounted cash flow (DCF)**, the method of calculating present values by discounting future cash flows

Example, Present Value

- Suppose you need \$3,000 next year to buy a new computer. The interest rate is 8% per year. How much money should you set aside now in order to pay for the purchase?

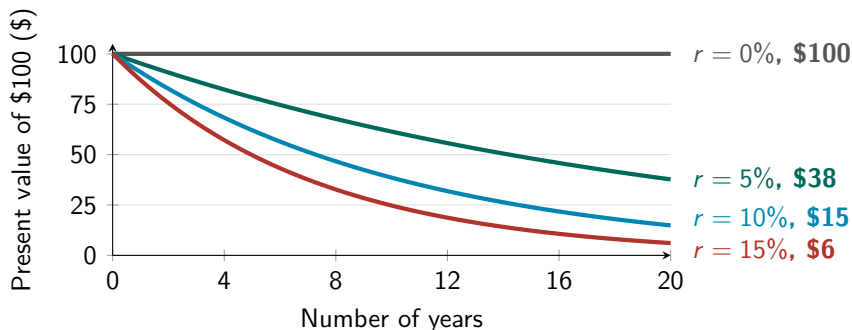
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$$\text{Present value (PV)} = \frac{\text{FV}}{(1 + r)^T} = \frac{\$3,000}{(1 + 0.08)^1} = \$2,778$$

Present Value

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Present Value, Multiple Future Cash Flows

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$$PV_{\text{total}} = \frac{C_1}{(1+r)^1} + \frac{C_2}{(1+r)^2} + \dots$$

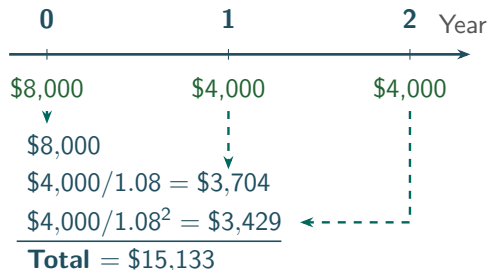
- where C_1 is the cash flow in one year, C_2 is the cash flow in two years, etc.

Example, Multiple Future Cash Flows

- You face two investments with different cash flows in the future
 - A. Receive \$15,000 cash now, or
 - B. Receive three payments, \$8,000 now, \$4,000 one year from now, and \$4,000 two years from now
- If the discount rate is 8%, which do you prefer?

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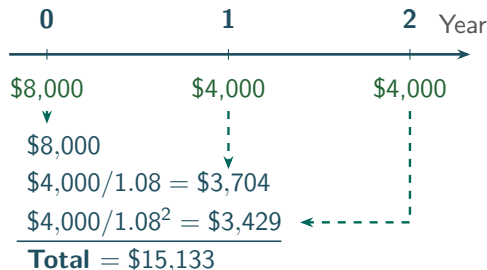
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$$PV = \$8,000 + \frac{\$4,000}{(1 + 0.08)^1} + \frac{\$4,000}{(1 + 0.08)^2}$$

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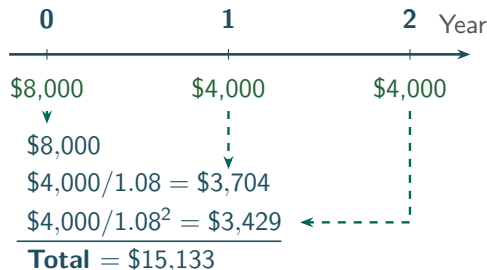


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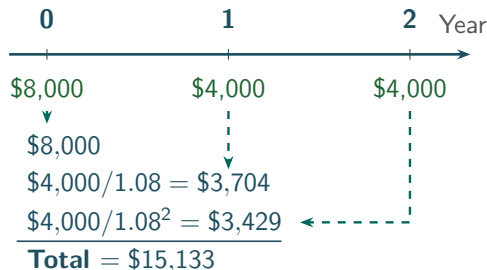


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- The present value of option B (\$15,133) is more than option A's \$15,000, so choose option B
- This is the principle behind the NPV rule in capital budgeting, which we will return to in **Modules 6 and 7**

Return

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$$\text{Return} = \frac{\$180 - \$100}{\$100} = 80\%$$

Holding Period Return

- **Holding period return**, percentage growth over the period an asset is owned, which can be longer or shorter than a year, e.g., owning a stock for T periods with returns $r_1, r_2, \dots, r_T$ gives

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$$r_{\text{holding period}} = (1 + r_1) \times (1 + r_2) - 1 = 1.80 \times 0.80 - 1 = 44\%$$

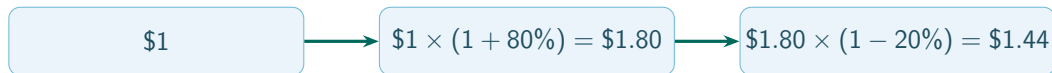
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- The annualized return is *not* $\frac{80\% - 20\%}{2} = 30\%$

Recap, Three Kinds of Returns

Return	Holding period return	Annualized return
Percentage growth of an asset's value over some period of time	Percentage growth over the whole period an asset is owned, longer or shorter than a year	Percentage growth per year, a geometric mean over the T years of the holding period

Recap, Three Kinds of Returns

Return	Holding period return	Annualized return
Percentage growth of an asset's value over some period of time	Percentage growth over the whole period an asset is owned, longer or shorter than a year	Percentage growth per year, a geometric mean over the T years of the holding period

- These financial returns are *not directly related in any way* with **Module 3's** accounting-based ROA and ROE measures

Recap of Part 1

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- **Present value**, the value of a future cash flow multiplied by its discount factor

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Recap of Part 1

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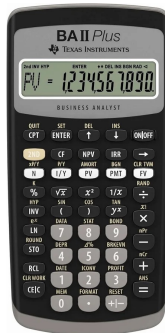
- Present values can be added together to calculate the total present value of multiple future cash flows

Module 4, Part 2

Financial Calculators

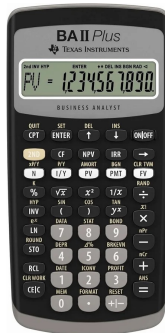
Get the Texas Instruments BA II Plus

- You need a **financial calculator**



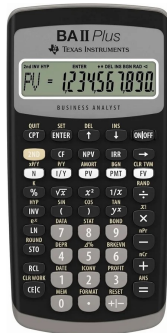
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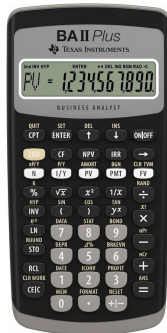
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- After you reset, you should repeat the next two settings!

Set the Number of Digits to at Least 4!

- On the TI BA II Plus, press
 - **2nd**
 - **.**
 - **4**
 - **ENTER**

Set the Number of Compounding Periods per Year to 1!

- On the TI BA II Plus, press
 - **2nd**
 - **I/Y** (**P/Y**)
 - 1
 - **ENTER**

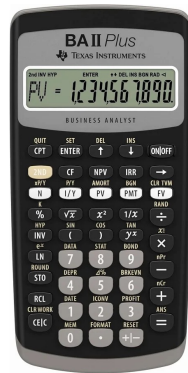
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 - 1
 - **ENTER**

You must do this!

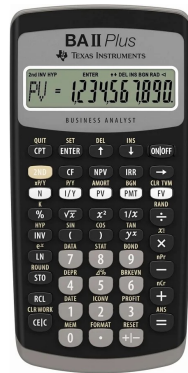
Financial Calculators, Basic Functionality

- **N**, number of periods (usually years)



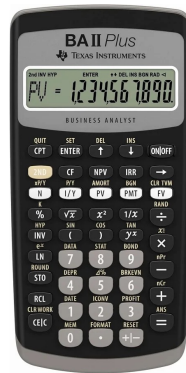
Financial Calculators, Basic Functionality

- **N**, number of periods (usually years)
- **I/Y**, interest rate, expressed as a percentage (not a decimal)



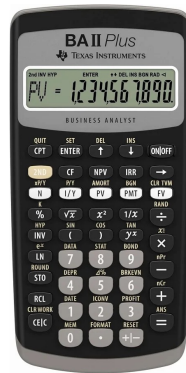
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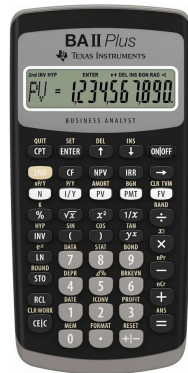
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- Why does the answer come out negative?

The Equation the Calculator Solves

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- In 2007, Puerto Rico sold bonds that promised to pay \$1,000 after 47 years (no periodic “coupon” payments)
- These bonds were sold at \$94.40 each
- What was the interest rate paid by Puerto Rico?



Example, Puerto Rico Borrows



$$N = 47, \quad I = ?$$

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- The rate is 5.15%

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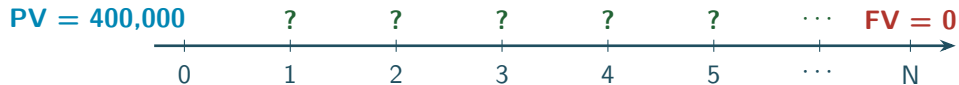
The present values of PV, all PMTs, and FV, summed up together equal 0.

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- That is, you would pay an undiscounted total of $30 \times 25,430$ over the course of your mortgage

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- Financial calculators solve any one of **N**, **I/Y**, **PV**, **PMT**, and **FV** from the other four

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- Set the number of compounding periods per year to 1, and show at least 4 digits

Module 4, Part 3

Special Cases: Perpetuities and Annuities

Perpetuities and Annuities

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- Why care about perpetuities and annuities?
 - Many real-world cash flows have these patterns (particularly annuities, e.g., mortgages)
 - Neat shortcuts make it very easy to calculate the present value of these cash flows

Perpetuity Structure

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- The first payment happens after one period (not immediately)
- A perpetuity has a present value of

$$\text{PV of perpetuity} = \frac{\text{Cash flow}}{\text{Discount rate}} = \frac{C}{r}$$

Example, Perpetuities

- Suppose the San Antonio Spurs offer Victor Wembanyama a perpetual payment of \$20m every year. He will be paid forever, as long as he lives, and then his children, and then his children's children, etc.
- Suppose the discount rate is 10%. What is the present value of this contract?



Example, Perpetuities

- Solution,

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$$PV = \frac{C}{r} = \frac{20}{10\%} = \$200m$$

Perpetuity, Timing

- **Perpetuity due**, first payment at time 0

$$PV = \frac{C}{r} \times (1 + r)$$



Perpetuity, Timing

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- **Delayed perpetuity**, first payment at time $t > 1$

$$PV = \frac{C}{r} \times \frac{1}{(1+r)^{t-1}}$$



Growing Perpetuities

- Suppose you have a perpetual cash flow that starts at C but grows at a constant growth rate g forever. This is a growing perpetuity

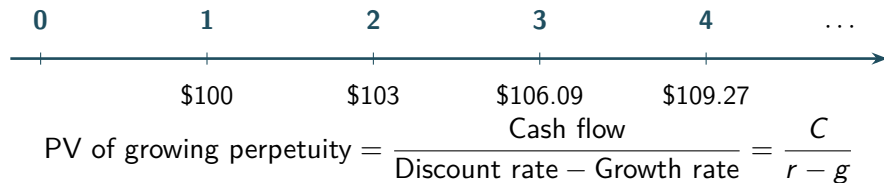
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- Example, a growing perpetuity with a first payment of \$100 that grows at a rate of 3% has cash flows



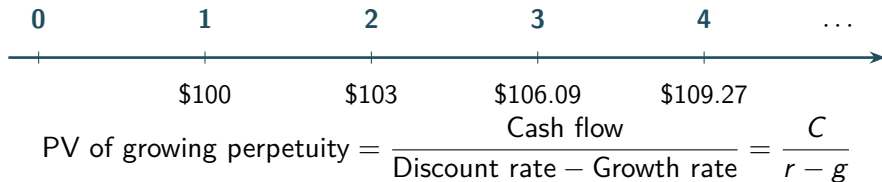
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- This formula comes up often when valuing stocks, e.g., in the “Gordon growth model” and DCF valuation (more in [Module 5](#))
- When $g = 0$, the PV simplifies to the formula for a regular (non-growing) perpetuity

Annuities

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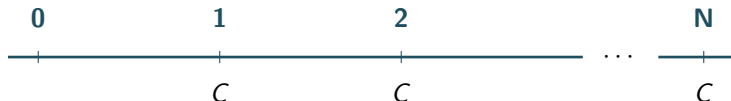


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- Present value of an annuity,

$$\text{PV of annuity} = C \underbrace{\frac{1}{r} \left(1 - \frac{1}{(1+r)^N} \right)}_{\text{present value annuity factor (PVAF)}}$$

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- C is the annual cash flow (aka the payment), r is the discount rate, and N is the number of years that the annuity lasts

Valuing Annuities with a Financial Calculator

- The financial calculator keys map onto an annuity,
 - **N**, the number of payments
 - **I/Y**, the discount rate
 - **PV**, the present value of the annuity
 - **PMT**, the recurring payment (the C in the formula)
 - **FV**, 0 when there is no single payment at the end

Example, Annuity

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$$PV = C \frac{1}{r} \left(1 - \frac{1}{(1+r)^N} \right) = \$8,000 \times \frac{1}{0.10} \times \left(1 - \frac{1}{(1+0.10)^3} \right) = \$19,895$$

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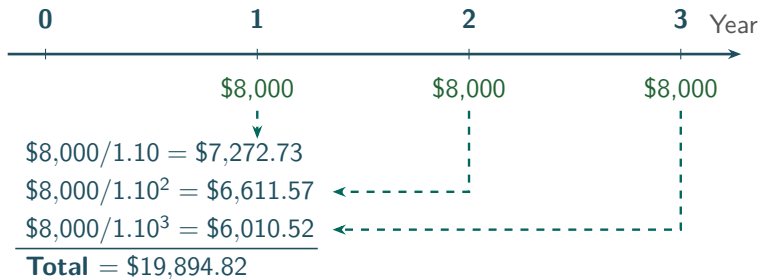
- On a financial calculator, **PMT** = -8,000, **N** = 3, **I/Y** = 10, **FV** = 0, leading to \$19,895

Example, Annuity

- We can verify this by discounting each cash flow separately and adding them up

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Discuss, Front-Loaded or Constant Cash Flows?

- If we have two cash flows with the same undiscounted total, but one is front-loaded, another is equally distributed over the years (i.e., an annuity), which one has a higher present value?

Example, Front-Loaded or Constant Cash Flows

- Two streams, the same \$24,000 undiscounted total, discount rate 10%

Cash flows	Year 1	Year 2	Year 3	Total	PV at 10%
Annuity (the car)	\$8,000	\$8,000	\$8,000	\$24,000	?
Front-loaded	\$12,000	\$8,000	\$4,000	\$24,000	?

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- Annuity, $\$8,000/1.10 + \$8,000/1.10^2 + \$8,000/1.10^3 = \$19,895$
- Front-loaded, $\$12,000/1.10 + \$8,000/1.10^2 + \$4,000/1.10^3 = \$20,526$

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- What about a back-loaded cash flow and an annuity?

Perpetuities and Annuities, Timing

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Practice Problem

- A store sells a product for \$100. It offers you two payment plans,
 - Plan A, you pay \$25 today and \$25 at the end of each of the next 3 years
 - Plan B, you pay the entire bill today and get a 7% discount, so you pay only \$93
- a. Suppose the interest rate is 4%. What is the present value of your payments under Plan A?
- b. Which plan is a better deal?

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We choose the payment plan with the smaller PV.

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- b. Paying in full now is better (\$93 beats \$94.38)
- On a financial calculator, **PMT** = -25, **N** = 3, **FV** = 0, **I/Y** = 4, leading to 69.38, and next, $69.38 + 25 = 94.38$

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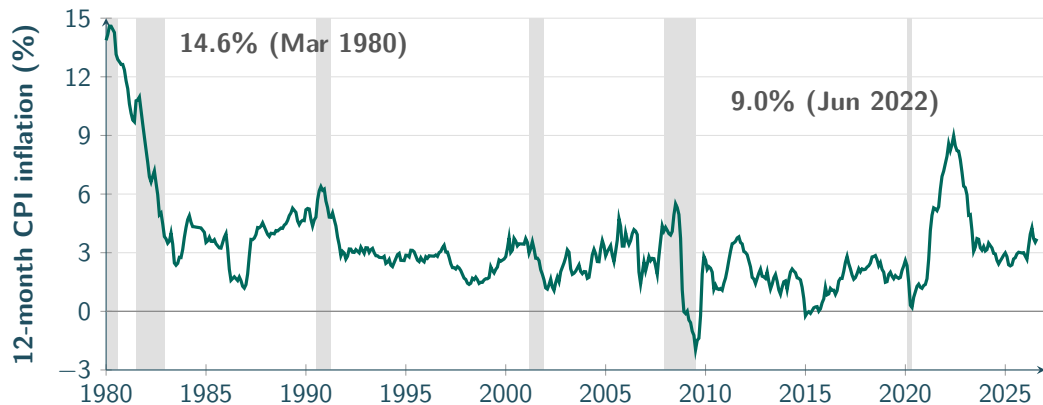
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- Timing,
 - Ordinary perpetuities and annuities make their first payment at time $t = 1$
 - Perpetuity and annuity dues make their first payment at $t = 0$
 - Delayed perpetuities and annuities make their first payment at $t > 1$

Module 4, Part 4

Inflation

History of Inflation



Source, [BLS via FRED](#) (CPI-U, all items), shaded areas are NBER recessions

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 - Compare dollars at time $t = 0$ to dollars at time $t = 1$
- **Real interest rate or real return**, the rate at which purchasing power increases
 - Compare the ability to buy a basket of goods at time $t = 0$ to the ability to buy the same basket of goods at time $t = 1$

Inflation and Returns

- In the presence of inflation, an investor's real return (e.g., the real interest rate) is always less than the nominal return

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- Inflation also affects discounting,
 - We should discount nominal dollar cash flows using a nominal discount rate
 - We should discount real dollar cash flows using a real discount rate

Motivating Example, Pandemic-Era Inflation



WSJ, July 13, 2022 (5:01), "How the Consumer-Price Index Measures Inflation"

Example, Inflation

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- Approximation, $\text{real} \approx 6\% - 2\% = 4\%$

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- $(1 + \text{Real return}) = (1 + \text{Nominal return}) / (1 + \text{Inflation rate})$, and approximately, $\text{real return} \approx \text{nominal return} - \text{inflation rate}$
- Discount nominal cash flows using a nominal discount rate, and real cash flows using a real discount rate

Key Takeaways

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- A dollar today is worth more than a dollar tomorrow, $FV = PV \times (1 + r)^T$ and $PV = FV / (1 + r)^T$ translate between them
- Perpetuities and annuities have shortcut PV formulas, mind the timing of the first payment
- The real return strips inflation out of the nominal return

Thank you!

Please let me know if you have any questions.